to just continue trading this account and live off the profits. Since Woodriff had started the account with only $300,000, and he also had to pay Geismar's salary, I was rather incredulous when he told me this. "You weren't planning to start a new CTA and manage client money? You were planning to just live off the profits?"

"Oh, absolutely!" he answered. His reply and his actions at the time reflected the degree of confidence he had in his system. And although it sounded like a preposterous plan to me, his confidence was not misplaced. Aided by a highly volatile equity market that was particularly favorable for his approach, in return terms, his account compounded twentyfold in the first 25 months.[3]

In April 2001, Woodriff and Geismar moved back to Charlottesville. As his account grew, Woodriff thought it made sense to diversify by starting another proprietary account to trade his system on the futures markets, as he had originally done. In addition, because at the time the equity account traded only on the opening, he felt that only futures would give him sufficient capacity to build a truly scalable management business if he chose to do so. The plan was to trade the futures account for two years, establish a track record and smoothly running operation, and then *consider* opening the program to outside investors. Woodriff emphasized the word *consider* because he says that, at the time, he was not at all sure he wanted to undergo the work and complications implicit in shifting from just managing his own money to establishing a money management operation. At the end of 2002, the third co-founder, Greyson Williams, joined the budding firm, and Quantitative Investment Management (QIM) as a company was officially established in May 2003. As it turned out, Woodriff never got to the two-year decision point. In late 2003, a broker recommended QIM to a client, and Woodriff, along with Geismar and Williams, decided they were ready to manage other people's money.

QIM trades a futures program and an equity program, and both have exhibited strong return/risk performance. The futures trading program accounts for about 85 percent of the near $5 billion of assets under management. From the October 2003 start date for the first client account through 2011, the futures trading program achieved an average annual compounded return of 12.5 percent, with an annualized standard deviation